

CLOUD SERVICE PROVIDER POLICY

Acme Financial Services

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Prepared by: Vearnell Israel

DOCUMENT CONTROL

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REVISION HISTORY

Version	Date	Description of Change	Author
1.0	June 2026	Initial Release	Vearnell Israel

1. PURPOSE

The purpose of this Cloud Service Provider Policy is to establish requirements for the evaluation, approval, implementation, management, and ongoing oversight of cloud service providers utilized by Acme Financial Services. This policy applies to all business units, employees, contractors, systems, and data that interact with or are hosted on cloud services at Acme Financial Services.

Cloud computing services provide operational flexibility and scalability, but also introduce cybersecurity, privacy, operational, regulatory, and third-party risks. Acme Financial Services shall ensure that cloud service providers maintain security controls appropriate for protecting company information, customer financial data, business applications, and technology assets.

This policy establishes minimum requirements for cloud provider selection, risk assessment, security configuration management, access control, data protection, monitoring, incident response, and cloud service termination activities.

2. SCOPE

This policy applies to all Acme Financial Services employees, contractors, consultants, temporary workers, vendors, and third-party service providers responsible for procuring, implementing, administering, supporting, or managing cloud services.

This policy applies to all cloud computing environments utilized by Acme Financial Services, including Software-as-a-Service (SaaS), Platform-as-a-Service (PaaS), Infrastructure-as-a-Service (IaaS), and other cloud-hosted technologies used to support business operations.

This policy applies to all company information, customer data, applications, systems, databases, and services hosted, processed, stored, or transmitted within cloud environments.

Compliance with this policy is mandatory. Any exception must be documented, reviewed by the Information Security team, and approved by the Chief Information Security Officer or authorized executive leadership.

3. CLOUD SERVICE PROVIDER REQUIREMENTS

3.1 Cloud Service Provider Approval

All cloud service providers shall undergo formal review and approval before implementation or use within the organization.

Business units seeking to implement cloud services shall coordinate with Information Security, Information Technology, Compliance, Legal, and Procurement teams to ensure security, privacy, operational, and regulatory requirements are satisfied.

Unapproved cloud services shall not be utilized for company business activities.

3.2 Cloud Risk Assessments

Cloud service providers shall undergo documented risk assessments before onboarding and periodically throughout the provider lifecycle.

Cloud service providers shall provide evidence of applicable compliance certifications and independent assessments, such as SOC 2 Type II, ISO 27001, PCI DSS, or other regulatory attestations relevant to the services provided.

Risk assessments shall evaluate provider security controls, data protection capabilities, compliance certifications, geographic data residency, operational resilience, business continuity capabilities, privacy practices, and regulatory obligations.

Cloud providers presenting elevated risk may require additional controls, remediation activities, or executive approval before implementation.

3.3 Cloud Service Inventory Management

Acme Financial Services shall maintain an inventory of approved cloud service providers and authorized cloud services.

The inventory shall identify the designated business owner, data classification level, geographic hosting location, and recovery requirements associated with each cloud service.

The inventory shall document service ownership, business purpose, provider name, service type, data classifications supported, contract status, risk classification, and review dates.

Business owners shall be responsible for maintaining accurate cloud service information throughout the service lifecycle.

3.4 Cloud Security Configuration Standards

Cloud environments shall be configured according to approved security baselines and industry best practices.

Acme Financial Services shall understand and document the shared responsibility model associated with each cloud service provider to ensure security responsibilities are clearly assigned between the organization and the provider.

Security configurations shall address identity management, access control, encryption settings, logging requirements, network security controls, backup requirements, vulnerability management, and monitoring capabilities.

Configuration standards shall be reviewed periodically and updated as technology and threat landscapes evolve.

3.5 Identity and Access Management

Access to cloud environments shall be managed in accordance with the Access Management Policy.

Role-based access controls shall be implemented to ensure users receive only the minimum access necessary to perform assigned responsibilities.

Administrative privileges shall be restricted to authorized personnel with documented business justification.

Multi-factor authentication shall be required for privileged accounts and remote administrative access to cloud environments.

3.6 Data Protection and Encryption

Sensitive information stored, processed, or transmitted within cloud environments shall be protected through appropriate security controls.

Data shall be encrypted during transmission and at rest using approved encryption mechanisms.

Cloud service providers shall support data protection capabilities appropriate to the classification of information being processed.

Customer information, financial records, and other regulated data shall be protected in accordance with legal, contractual, and regulatory requirements.

3.7 Logging and Monitoring

Cloud environments shall generate logs sufficient to support security monitoring, incident investigations, compliance requirements, and operational oversight.

Cloud logs shall be integrated with approved security monitoring platforms to support threat detection, incident response, and compliance reporting activities.

Security logs shall be retained according to established retention requirements and integrated with approved monitoring and logging platforms when appropriate.

Security personnel shall regularly review cloud-related events and investigate suspicious activities in accordance with established incident response procedures.

3.8 Vulnerability Management

Cloud environments shall be regularly assessed for security vulnerabilities, configuration weaknesses, and misconfigurations.

Appropriate vulnerability scanning, configuration reviews, and remediation activities shall be performed based on risk and business criticality.

Identified vulnerabilities shall be prioritized and remediated according to established vulnerability management procedures.

3.9 Data Loss Prevention

Acme Financial Services shall implement appropriate controls to detect, prevent, and respond to unauthorized disclosure, transfer, or loss of sensitive information within cloud environments.

Data Loss Prevention technologies and monitoring capabilities shall be utilized where appropriate to protect customer information, financial records, regulated data, and proprietary business information.

Potential data loss events shall be investigated and addressed according to incident response procedures.

3.10 Incident Response and Reporting

Cloud service providers shall promptly report security incidents, service disruptions, unauthorized access events, privacy incidents, or data breaches that could impact company operations, systems, or information.

Cloud providers shall cooperate with investigations, provide requested information, and support remediation activities as required.

Security incidents involving cloud services shall be managed in accordance with Acme Financial Services' Incident Response procedures.

3.11 Cloud Service Offboarding

When a cloud service is no longer required, the organization shall ensure that access is removed, services are terminated, and company information is appropriately protected.

Data shall be returned, securely destroyed, or retained according to contractual, business, and regulatory requirements.

Cloud service inventories shall be updated to reflect service termination, and offboarding activities shall be documented and reviewed.

4. POLICY SANCTIONS

Failure to comply with this policy may result in corrective or disciplinary action in accordance with Acme Financial Services' human resources procedures, contractual agreements, and applicable laws.

Disciplinary action may include mandatory security awareness training, written warning, suspension of access privileges, contract termination, employment termination, or legal action, depending upon the severity of the violation.

Violations involving unauthorized cloud service usage, improper handling of sensitive information, security negligence, or regulatory non-compliance may result in additional enforcement actions.

5. REVIEW AND APPROVAL

This policy shall be reviewed annually by the Information Security, Compliance, Legal, Information Technology, and Risk Management teams and approved by executive leadership.

Updates may be made sooner if required due to changes in business operations, cloud technologies, regulatory requirements, contractual obligations, or cybersecurity risks.

Approved By:

Chief Information Security Officer

Date: _____

Executive Leadership Team

Date: _____